
Troy School District

Federal Awards Supplemental Information
June 30, 2021

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Independent Auditor's Report

To the Board of Education
Troy School District

We have audited the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Troy School District (the "School District") as of and for the year ended June 30, 2021, and the related notes to the financial statements, which collectively comprise the School District's basic financial statements. We issued our report thereon dated October 05, 2021, which contained an unmodified opinion on the financial statements. Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the basic financial statements. We have not performed any procedures with respect to the audited financial statements subsequent to October 5, 2021.

The accompanying schedule of expenditures of federal awards and the reconciliation of financial statements federal revenue with schedule of expenditures of federal awards are presented for the purpose of additional analysis as required by the Uniform Guidance and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

October 5, 2021

Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of
Financial Statements Performed in Accordance with *Government Auditing Standards*

Independent Auditor's Report

To Management and the Board of Education
Troy School District

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Troy School District (the "School District") as of and for the year ended June 30, 2021 and the related notes to the financial statements, which collectively comprise the School District's basic financial statements and have issued our report thereon dated October 5, 2021.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the School District's internal control. Accordingly, we do not express an opinion on the effectiveness of the School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the School District's financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the School District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the School District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

October 5, 2021

Report on Compliance for Each Major Federal Program and Report on Internal Control Over Compliance Required
by the Uniform Guidance

Independent Auditor's Report

To the Board of Education
Troy School District

Report on Compliance for Each Major Federal Program

We have audited Troy School District's (the "School District") compliance with the types of compliance requirements described in the U.S. Office of Management and Budget (OMB) Compliance Supplement that could have a direct and material effect on the School District's major federal program for the year ended June 30, 2021. The School District's major federal program is identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal program.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of the School District's major federal programs based on our audit of the types of compliance requirements referred to above.

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (the "Uniform Guidance"). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of the School District's compliance.

Opinion on Each Major Federal Program

In our opinion, the School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on the major federal program for the year ended June 30, 2021.

Report on Internal Control Over Compliance

Management of the School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the School District's internal control over compliance.

To the Board of Education
Troy School District

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

October 5, 2021

Schedule of Expenditures of Federal Awards

Year Ended June 30, 2021

Federal Agency/Pass-through Agency/Program Title	Pass-through Entity Identifying Number	CFDA Number	Award Amount	(Memo Only) Prior Year Expenditures	Accrued Revenue at July 1, 2020	Adjustments and Transfers	Federal Funds/ Payments In-kind Received	Federal Expenditures	Accrued Revenue at June 30, 2021	Current Year Cash Transferred to Subrecipients
Clusters:										
Child Nutrition Cluster - U.S. Department of Agriculture - Passed through the Michigan Department of Education Noncash Assistance (Commodities): National Lunch Program Commodities - 2021	N/A	10.555	\$ 250,155	\$ -	\$ -	\$ -	\$ 250,155	\$ 250,155	\$ -	\$ -
Cash Assistance: COVID-19 - Unanticipated School Closure Program - 1920	200902	10.555	332,462	332,462	52,537	-	52,537	-	-	-
Total National School Lunch Program (including commodities)			582,617	332,462	52,537	-	302,692	250,155	-	-
Summer Food Service Program - 2021	200900	10.559	109,354	-	-	-	109,354	109,354	-	-
Extended Summer Food Service Program - 2021	210904	10.559	2,043,447	-	-	-	1,844,800	2,043,447	198,647	-
Total Summer Food Service Program			2,152,801	-	-	-	1,954,154	2,152,801	198,647	-
Total Child Nutrition Cluster			2,735,418	332,462	52,537	-	2,256,846	2,402,956	198,647	-
Special Education Cluster - U.S. Department of Education - Passed through the Oakland ISD:										
IDEA Flowthrough:										
IDEA Flowthrough - 1819	190450	84.027	2,422,459	2,442,459	22,240	-	22,240	-	-	-
IDEA Flowthrough - 1920	200450	84.027	2,398,569	2,351,325	2,351,325	-	2,363,475	47,244	35,094	-
IDEA Flowthrough - 2021	210450	84.027	2,469,001	-	-	-	2,101,709	2,460,821	359,112	-
Total IDEA Flowthrough			7,290,029	4,793,784	2,373,565	-	4,487,424	2,508,065	394,206	-
IDEA Preschool Incentive:										
IDEA Preschool - 1920	200460	84.173	93,789	93,789	93,789	-	93,789	-	-	-
IDEA Preschool - 2021	210460	84.173	94,830	-	-	-	86,322	94,830	8,508	-
Total IDEA Preschool Incentive			188,619	93,789	93,789	-	180,111	94,830	8,508	-
Total Special Education Cluster			7,478,648	4,887,573	2,467,354	-	4,667,535	2,602,895	402,714	-
Medicaid Cluster - U.S. Department of Health and Human Services - Passed through the Oakland ISD - Medicaid Outreach AOP - 2021										
		93.778	23,088	-	-	-	23,088	23,088	-	-

Schedule of Expenditures of Federal Awards (Continued)

Year Ended June 30, 2021

Federal Agency/Pass-through Agency/Program Title	Pass-through Entity Identifying Number	CFDA Number	Award Amount	(Memo Only) Prior Year Expenditures	Accrued Revenue at July 1, 2020	Adjustments and Transfers	Federal Funds/ Payments In-kind Received	Federal Expenditures	Accrued Revenue at June 30, 2021	Current Year Cash Transferred to Subrecipients
Clusters (continued):										
Employment Service Cluster - U.S. Department of Labor -										
Passed through Oakland County:										
Wagner-Peyser Employment Service - 1920	ES310291755A26	17.207	\$ 432,620	\$ 115,988	\$ 77,153	\$ -	\$ 287,771	\$ 316,632	\$ 106,014	\$ -
Wagner-Peyser Employment Service - 2021	ES334001955A26	17.207	267,450	-	-	-	87,471	137,884	50,413	-
Wagner-Peyser Michigan Works! Service Center -1920	ES310291755A26	17.207	40,250	28,350	20,800	-	32,700	11,900	-	-
Total Wagner-Peyser			740,320	144,338	97,953	-	407,942	466,416	156,427	-
Jobs for Veterans State Grants - 2021	DV328961955526	17.801	1,611	-	-	-	1,217	1,539	322	-
Total Employment Service Cluster			741,931	144,338	97,953	-	409,159	467,955	156,749	-
WIOA Cluster - U.S. Department of Labor -										
Passed through Oakland County:										
Workforce Innovation & Opportunity Grant Adult Program:										
WIOA Adult Program - 1920	AA321961855A26	17.258	333,411	101,712	67,144	-	298,843	231,699	-	-
WIOA Adult Program - 2021	AA342361955A26	17.258	471,814	-	-	-	141,222	252,251	111,029	-
WIOA Admin Cost Pool - 1920	AA33261955A26	17.258	16,083	4,203	1,996	-	7,878	5,882	-	-
WIOA Admin Cost Pool - 2021	AA342361955A26	17.258	11,289	-	-	-	3,052	6,379	3,327	-
Veterans Infrastructure Funding - 1920	DV328961955526	17.258	493	493	50	-	50	-	-	-
WIOA SWA - 2021	AA332361955A26	17.258	7,370	-	-	-	7,370	7,370	-	-
Total WIOA Adult Program			840,460	106,408	69,190	-	458,415	503,581	114,356	-
Workforce Innovation & Opportunity Grant Youth Activities:										
WIOA Youth Activities - 1920	AA321961855A26	17.259	334,564	162,350	75,297	-	247,511	172,214	-	-
WIOA Youth Activities - 2021	AA342361955A26	17.259	342,717	-	-	-	95,887	224,186	128,299	-
WIOA Admin Cost Pool - 1920	AA33261955A26	17.259	16,683	4,450	2,113	-	7,994	5,881	-	-
WIOA Admin Cost Pool - 2021	AA342361955A26	17.259	11,288	-	-	-	3,052	6,379	3,327	-
Veterans Infrastructure Funding - 1920	DV328961955526	17.259	522	469	53	-	53	-	-	-
WIOA SWA - 2021	AA332361955A26	17.259	8,008	-	-	-	8,008	8,008	-	-
Total WIOA Youth Program			713,782	167,269	77,463	-	362,505	416,668	131,626	-
Workforce Innovation & Opportunity Act Dislocated Worker Grants:										
WIOA Dislocated Worker Grant - 1920	AA321961855A26	17.278	159,363	65,685	35,770	-	129,448	93,678	-	-
WIOA Dislocated Worker Grant - 2021	AA342361955A26	17.278	119,224	-	-	-	33,833	74,189	40,356	-
WIOA Admin Cost Pool - 1920	AA33261955A26	17.278	14,882	3,708	1,761	-	7,642	5,881	-	-
WIOA Admin Cost Pool - 2021	AA342361955A26	17.278	11,288	-	-	-	3,052	6,379	3,327	-
Veterans Infrastructure Funding - 1920	DV328961955526	17.278	435	435	44	-	44	-	-	-
Trade and Economic Transition - 1920	DW325501860A26	17.278	52,400	4,689	-	-	5,552	10,581	5,029	-
WIOA SWA - 2021	AA332361955A26	17.278	6,622	-	-	-	6,622	6,622	-	-
Total WIOA Dislocated Worker Grants			364,214	74,517	37,575	-	186,193	197,330	48,712	-
Total WIOA Cluster			1,918,456	348,194	184,228	-	1,007,113	1,117,579	294,694	-
Total Clusters			12,897,541	5,712,567	2,802,072	-	8,363,741	6,614,473	1,052,804	-

Schedule of Expenditures of Federal Awards (Continued)

Year Ended June 30, 2021

Federal Agency/Pass-through Agency/Program Title	Pass-through Entity Identifying Number	CFDA Number	Award Amount	(Memo Only) Prior Year Expenditures	Accrued Revenue at July 1, 2020	Adjustments and Transfers	Federal Funds/ Payments In-kind Received	Federal Expenditures	Accrued Revenue at June 30, 2021	Current Year Cash Transferred to Subrecipients
Other federal awards:										
Title I, Part A - U.S. Department of Education - Passed through the Michigan Department of Education -										
Title I, Part A 1920	201530	84.010	\$ 261,816	\$ 222,060	\$ 49,904	\$ -	\$ 63,350	\$ 13,446	\$ -	\$ -
Title I, Part A 2021	211530	84.010	285,670	-	-	-	101,330	215,105	113,775	-
Total Title I, Part A			547,486	222,060	49,904	-	164,680	228,551	113,775	-
Improving Teacher Quality, Title II - Part A - U.S. Department of Education - Passed through the Michigan Department of Education:										
Title II, Part A 1920	200520	84.367	178,717	178,717	4,620	-	4,620	-	-	-
Title II, Part A 2021	210520	84.367	162,614	-	-	-	88,632	162,614	73,982	-
Total Title II, Part A			341,331	178,717	4,620	-	93,252	162,614	73,982	-
Language Instruction for English Learners - U.S. Department of Education - Passed through the Michigan Department of Education:										
Title III English Learners - 1920	200580	84.365	266,249	174,410	80,500	-	116,723	36,223	-	-
Title III English Learners - 2021	210580	84.365	292,745	-	-	-	78,610	162,436	83,826	-
Total Title III Language Instruction for English Learners			558,994	174,410	80,500	-	195,333	198,659	83,826	-
Language Instruction for Immigrant Students - U.S. Department of Education - Passed through the Michigan Department of Education:										
Title III Immigrant Students - 1920	200570	84.365	115,600	59,693	25,481	-	45,085	19,604	-	-
Title III Immigrant Students - 2021	210570	84.365	189,267	-	-	-	-	31,757	31,757	-
Total Title III Language Instruction for Immigrant Students			304,867	59,693	25,481	-	45,085	51,361	31,757	-
Student Support and Academic Enrichment Program - U.S. Department of Education - Passed through the Michigan Department of Education:										
Title IV - 1920	200750	84.424	23,680	22,385	5,336	-	6,030	694	-	-
Title IV - 2021	210750	84.424	20,355	-	-	-	-	17,025	17,025	-
Total Title IV			44,035	22,385	5,336	-	6,030	17,719	17,025	-

Schedule of Expenditures of Federal Awards (Continued)

Year Ended June 30, 2021

Federal Agency/Pass-through Agency/Program Title	Pass-through Entity Identifying Number	CFDA Number	Award Amount	(Memo Only) Prior Year Expenditures	Accrued Revenue at July 1, 2020	Adjustments and Transfers	Federal Funds/ Payments In-kind Received	Federal Expenditures	Accrued Revenue at June 30, 2021	Current Year Cash Transferred to Subrecipients
Other federal awards (continued):										
Adult Education Federal IELCE - U.S. Department of Education - Passed through the Michigan Department of Education - Project Number 0205723	201120	84.002	\$ 157,877	\$ 157,877	\$ 11,541	\$ -	\$ 11,541	\$ -	\$ -	\$ -
Project Number 0215247	211120	84.002	250,000	-	-	-	160,938	250,000	89,062	-
Total Adult Education Federal IELCE			407,877	157,877	11,541	-	172,479	250,000	89,062	-
Adult Education Federal Instruction - U.S. Department of Education - Passed through the Michigan Department of Education - Project Number 201247	201130	84.002	140,400	140,400	19,867	-	19,867	-	-	-
Project Number 211247	211130	84.002	121,170	-	-	-	99,360	121,170	21,810	-
Total Adult Education Federal Instruction			261,570	140,400	19,867	-	119,227	121,170	21,810	-
Total Adult Education			669,447	298,277	31,408	-	291,706	371,170	110,872	-
Rehabilitation Services - U.S. Department of Education - Passed through Oakland County: IFA Rehabilitation Services - 1819	E20192807-00	84.126	2,901	2,901	293	-	293	-	-	-
IFA Rehabilitation Services - 1920	HI26A200099	84.126	3,221	-	-	-	2,434	3,078	644	-
Total Rehabilitation Services			6,122	2,901	293	-	2,727	3,078	644	-
Education Stabilization Fund Program - U.S. Department of Education - Passed through Michigan Department of Education COVID-19 ESSER Formula Fund I	203710	84.425D	214,271	-	-	-	214,271	214,271	-	-
COVID-19 ESSER Education Equity Fund I	203720	84.425D	32,140	-	-	-	32,140	32,140	-	-
Total Educational Stabilization Fund			246,411	-	-	-	246,411	246,411	-	-
Total U.S. Department of Education noncluster programs			2,718,693	958,443	197,542	-	1,045,224	1,279,563	431,881	-
TANF - U.S. Department of Health and Human Services - Passed through Oakland County: Temporary Assistance for Needy Families - 1920	2001MITANF	93.558	318,807	242,127	119,489	-	191,682	72,193	-	-
Temporary Assistance for Needy Families - 2021	HI26A200099	93.558	308,107	-	-	-	120,839	230,263	109,424	-
ERSS - 2021	HI26A200099	93.558	4,324	-	-	-	1,593	4,189	2,596	-
Total TANF			631,238	242,127	119,489	-	314,114	306,645	112,020	-

Schedule of Expenditures of Federal Awards (Continued)

Year Ended June 30, 2021

Federal Agency/Pass-through Agency/Program Title	Pass-through Entity Identifying Number	CFDA Number	Award Amount	(Memo Only) Prior Year Expenditures	Accrued Revenue at July 1, 2020	Adjustments and Transfers	Federal Funds/ Payments In-kind Received	Federal Expenditures	Accrued Revenue at June 30, 2021	Current Year Cash Transferred to Subrecipients
Other federal awards (continued):										
Coronavirus Relief Fund - U.S. Department of Treasury - Passed through Michigan Department of Education:										
COVID-19 11p - CRF School Aid	N/A	21.019	\$ 4,588,959	\$ -	\$ -	\$ -	\$ 4,588,959	\$ 4,588,959	\$ -	\$ -
COVID-19 103(2) - District COVID Costs	N/A	21.019	161,483	-	-	-	161,483	161,483	-	-
Total CRF passed through Michigan Department of Education			4,750,442	-	-	-	4,750,442	4,750,442	-	-
Passed through Copper County ISD:										
COVID-19 - CRF MiConnect/MAISA	N/A	21.019	190,817	-	-	-	190,817	190,817	-	-
Passed through Oakland County Treasurer:										
COVID-19 - CRF Michigan Works!	N/A	21.019	166,667	-	-	-	166,667	166,667	-	-
Passed through Oakland ISD:										
COVID-19 - CRF Oakland Together Schools Support Fund	N/A	21.019	1,559,749	-	-	-	1,559,749	1,559,749	-	-
Total Coronavirus Relief Fund			6,667,675	-	-	-	6,667,675	6,667,675	-	-
Trade Adjustment Assistance - U.S. Department of Labor - Passed through Oakland County:										
TAA - 1920	TA-317061855A26	17.245	148,040	110,297	63,873	-	101,616	37,743	-	-
TAA - 2021	TA-317061855A26	17.245	94,453	-	-	-	39,711	79,282	39,571	-
Total Trade Adjustment Assistance			242,493	110,297	63,873	-	141,327	117,025	39,571	-
Unemployment Insurance - U.S. Department of Labor - Passed through Oakland County:										
RESEA Unemployment Insurance - 1920	UI328461960A26	17.225	84,590	76,360	9,313	-	17,543	8,230	-	-
RESEA Unemployment Insurance - 2021	UI328461960A26	17.225	35,600	-	-	-	17,422	35,446	18,024	-
IFA Unemployment Insurance - 1920	UI298486SO	17.225	5,802	5,802	586	-	586	-	-	-
IFA Unemployment Insurance - 2021	UI298486SO	17.225	6,441	-	-	-	4,868	6,156	1,288	-
UIA Claims Assistance - 2021	UI34062520S5T26	17.225	120,247	-	-	-	120,247	120,247	-	-
Total Unemployment Insurance			252,680	82,162	9,899	-	160,666	170,079	19,312	-
H-1B Job Training Grant - U.S. Department of Labor - Passed through Oakland County -										
H-1B Job Training Grant - 1718	AP-280281560A26	17.268	181,575	147,075	-	-	28,700	34,500	5,800	-
Workforce Investment Act Grant - U.S. Department of Labor - Passed through Oakland County -										
COVID-19 Workforce Investment Act - 2021		17.277	75,750	-	-	-	21,603	54,835	33,232	-
Total U.S. Department of Labor noncluster programs			752,498	339,534	73,772	-	352,296	376,439	97,915	-
Total federal awards			23,667,645	7,252,671	3,192,875	-	16,743,050	15,244,795	1,694,620	-

Troy School District

Reconciliation of Basic Financial Statements Federal Revenue with Schedule of Expenditures of Federal Awards

Year Ended June 30, 2021

Revenue from federal sources - As reported on financial statements (includes all funds)	\$ 15,532,995
Federal revenue for which the School District is considered a beneficiary rather than a subrecipient	<u>(288,200)</u>
Federal expenditures per the schedule of expenditures of federal awards	<u><u>\$ 15,244,795</u></u>

Draft

Notes to Schedule of Expenditures of Federal Awards

Year Ended June 30, 2020

Note 1 - Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal grant activity of Troy School District (the "School District") under programs of the federal government for the year ended June 30, 2021. The information in the Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (the "Uniform Guidance"). Because the Schedule presents only a selected portion of the operations of the School District, it is not intended to and does not present the financial position, changes in net position, or cash flows of the School District.

Note 2 - Summary of Significant Accounting Policies

Expenditures reported in the Schedule are reported on the same basis of accounting as the basic financial statements. Such expenditures, except for those related to CFDA 21.019, Coronavirus Relief Fund (CRF), are recognized following the cost principles contained in *Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, wherein certain types of expenditures are not allowable or are limited as to reimbursement. CRF does not apply the cost principles contained in *Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* but rather applies the U.S. Department of Treasury's guidance and frequently asked questions as codified in the Federal Register. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years. The pass-through entity identifying numbers are presented where available.

The School District has elected not to use the 10 percent de minimis indirect cost rate to recover indirect costs as allowed under the Uniform Guidance.

Note 3 - Grant Auditor Report

Management has utilized the Cash Management System (CMS) Grant Auditor Report in preparing the schedule of expenditures of federal awards. Unreconciled differences, if any, have been disclosed to the auditor.

Note 4 - Noncash Assistance

The value of the noncash assistance received was determined in accordance with the provisions of the Uniform Guidance.

Schedule of Findings and Questioned Costs**Year Ended June 30, 2021****Section I - Summary of Auditor's Results****Financial Statements**

Type of auditor's report issued:

Unmodified

Internal control over financial reporting:

- Material weakness(es) identified? ☐ Yes ☒ No
- Significant deficiency(ies) identified that are not considered to be material weaknesses? ☐ Yes ☒ None reported
- Noncompliance material to financial statements noted? ☐ Yes ☒ None reported

Federal Awards

Internal control over major programs:

- Material weakness(es) identified? ☐ Yes ☒ No
- Significant deficiency(ies) identified that are not considered to be material weaknesses? ☐ Yes ☒ None reported

Type of auditor's report issued on compliance for major programs:

Unmodified

Any audit findings disclosed that are required to be reported in accordance with Section 2 CFR 200.516(a)?

☐ Yes ☒ No

Identification of major programs:

CFDA Number

Name of Federal Program or Cluster

21.019

Coronavirus Relief Fund

Dollar threshold used to distinguish between type A and type B programs:

\$750,000

Auditee qualified as low-risk auditee?

☒ Yes ☐ No**Section II - Financial Statement Audit Findings**

None

Section III - Federal Program Audit Findings

None